S&P Global
Market Intelligence

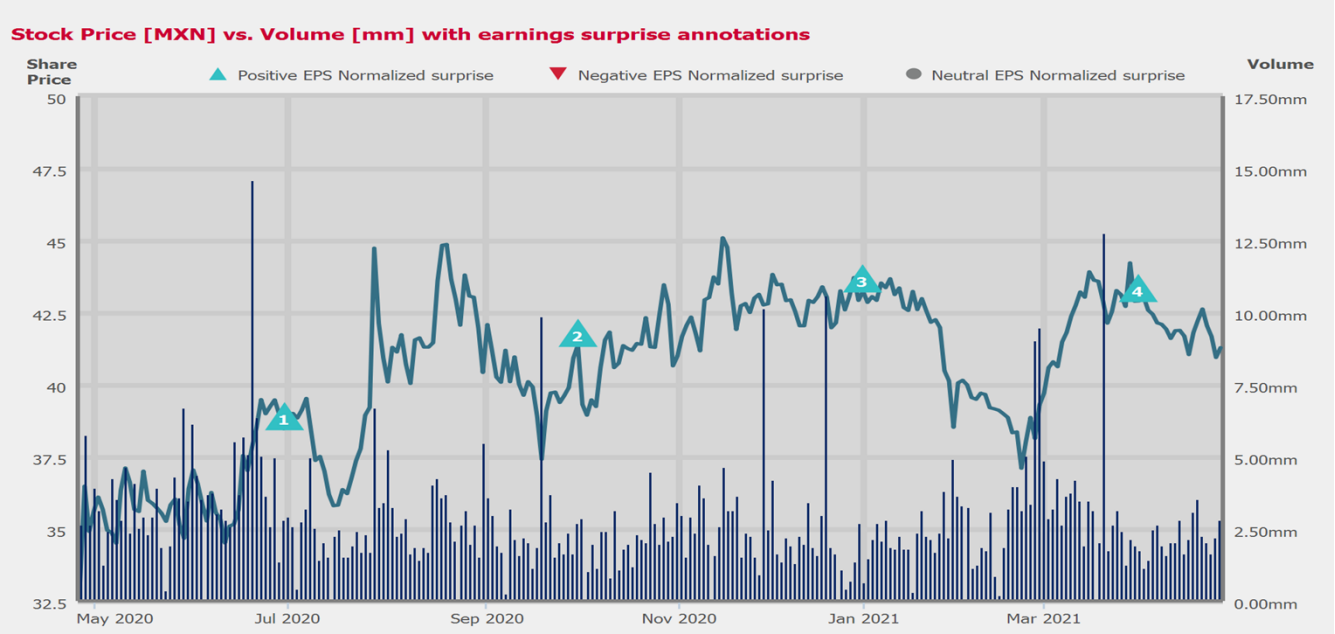
Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A FQ1 2021 Earnings Call Transcripts

Wednesday, April 28, 2021 10:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ1 2021-			-FQ2 2021-	-FY 2021-		-FY 2022-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	GUIDANCE	CONSENSUS
EPS Normalized	0.45	0.90	100.00	0.59	2.49	NA	NA
Revenue (mm)	78424.00	79136.36	0.91	80643.00	329324.06	NA	NA

Currency: MXN
Consensus as of Apr-29-2021 12:40 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ2 2020	0.30	0.57	1 90.00 %
FQ3 2020	0.52	0.79	2 51.92 %
FQ4 2020	0.54	0.64	3 18.52 %
FQ1 2021	0.45	0.90	4 100.00 %

COPYRIGHT © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved

Table of Contents

Call Participants 3

Presentation 4

Question and Answer 7

COPYRIGHT © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved

Call Participants

EXECUTIVES

Alfred Penny
President of Bimbo Bakeries USA

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Diego Gaxiola Cuevas
Group Chief Financial Officer

ANALYSTS

Álvaro García
Banco BTG Pactual S.A., Research Division

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Emiliano Hernández Marvan
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

Lucas Ferreira
JPMorgan Chase & Co, Research Division

Ricardo L. Alves
Morgan Stanley, Research Division

Unknown Analyst

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Presentation

Operator

Good day, everyone, and welcome to Grupo Bimbo's First Quarter Results Conference Call. If you need a copy of the press release issued earlier today, it is available on the company's website at www.grupobimbo.com/en/investor/quarterly-report.

Before we begin, I would like to remind you that this call is being recorded and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you very much. Good afternoon, everyone, and thank you for joining us. On behalf of Grupo Bimbo, I hope that you and your families are healthy and staying safe. Connected on the line today is our CFO, Diego Gaxiola; our BBU President, Fred Penny; and several members of our finance team.

We started off 2021 with the best first quarter on our history in terms of sales, profits and margins, following a remarkable year for Grupo Bimbo. These trends continue to reflect the hard work of our associates and the strength of our brand as well as the benefit from being a diversified company.

We were able to maintain the strong momentum across our 4 regions, especially in North America, Latin America and EAA, with continued market share gains across multiple categories, especially in the breakfast category in the U.S., which includes English muffins and bagels and a recovery of our global QSR business, driven primarily by the improved COVID-19 situation year-over-year. In fact, we will be investing more than $25 million of our annual CapEx plan. We opened a bakery in Georgia, U.S.A., to better serve the QSR customers in the region.

I would like to highlight that we have begun to cycle difficult comparisons, driven by the pandemic induced by which occurred in some of our geographies starting in March of last year. So in the second quarter of 2021, we will see the full effects of the panic shopping behaviors experienced during the second quarter of 2020. Although this will be challenging, we expect our 2021 run rates to demonstrate strong performance versus 2019. We remain fully committed and confident with the guidance that we provided and that we will reiterate in a few moments.

Looking ahead, we are facing a significantly higher inflationary environment. More specifically, we're seeing increases in commodities, freight and labor costs, and we will be taking actions to cover these cost increases.

Now looking at the regional results of the first quarter. In North America, sales grew by more than 8% in peso terms, while dollar sales increased by 6.1%. We continue to see the strong run rate compared to previous quarters, with market share gains in all our branded categories, especially in breakfast.

We also continue to see strong performance of the retail channel, which includes grocery, mass merchandising and club, while e-commerce nearly doubled its size. We continue to see strong run rate performance compared to pre-pandemic levels, driven by retail demand and favorable branded mix. The private label business run rate has remained soft, while foodservice is beginning to rebound as schools and restaurants manage partial openings.

Our adjusted EBITDA margin reached 12.6%, reflecting the strong sales performance, favorable branded mix, trade efficiencies and productivity benefits from past investments, which were partially offset by increased strategic investments in our brands. We are cautiously optimistic going forward, the strengths continue to be strong, and we have been able to maintain the run rate seen over the past quarters and to retain our new consumer houses, while we remain focused on increasing investment in our banks.

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

I'm also proud to share that -- with you that we recently signed 2 virtual power purchase agreements with renewable energy systems to procure renewable electricity that will offset 100% of our electricity consumption in Canada. This is a big step towards our commitment to be 100% renewable by 2025.

In Mexico, despite the pandemic and a strong first quarter in 2020, sales grew 1.6%, driven by positive price mix and good performance of the buns, toasted bread, snacks and confectionery categories. And also we performed very well in the traditional channel. Adjusted EBITDA margin expanded to 30 basis points as a reflection of distribution optimization initiatives in the commercial area.

In Latin America, the 6.6% sales increase was attributable to the strong results in all our divisions. The tortillas, bread and buns categories outperformed, and we have market share gains on our bread category across our geographies. The strong sales performance, coupled with productivity initiatives and cost-cutting like zero-based budgeting and the turnaround project in Brazil despite the currency devaluation, which continues to impact our profitability in the country, have enabled us to expand our adjusted EBITDA margin by 150 basis points.

In EAA, sales increased 19.1%, mainly as a result of the strategic acquisition of Paterna in Spain, and a good organic growth in the U.K. and the Bimbo QSR businesses. Results in Iberia were under pressure due to slightly difficult comparisons, given that in the first quarter of 2020, the panic shopping hit the country and the ongoing lack of turns because of the pandemic.

The EBITDA margin expansion of 50 basis points resulted from strong operating performance in the QSR business, as it is recovering from the debts of the pandemic and also because of the distribution efficiencies across the routes in Iberia.

I would now like to turn over the call to Diego, who will walk you through our financials. Please, Diego, go ahead.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Thank you, Daniel. Good afternoon, everyone, and thank you for joining us today. I would like to start with a summary of our financial results, which were outstanding, achieving growth across our 4 regions and the strong EBITDA margin expansions as well as a 230 basis point improvement on our return on investment.

We are clearly benefiting from being a global and diversified company, from participating in a resilient industry and from having deliver brands in the markets in which we operate, as volume has been strong in most of our markets, especially in North America.

Our revenues in hard currency continued to grow, representing now nearly 60% of the total. The strong sales performance across every region, primarily North America, Latin America and the recovery of Bimbo QSR, coupled with lower cost of sales, productivity savings and the net noncash effect during the first quarter of 2020, plus the net benefit that we had in this quarter related to the interest rate movements, enabled us to grow our operating income by more than 4x and expand the margin by 830 basis points. Notably, 3 of our 4 regions switched to positive operating income.

Our financing cost slightly increased, 9%, mainly reflecting foreign currency translation, offset by lower interest paid due to the deleverage. We ended up the quarter with a 37.5% effective tax rate, which reflects an important benefit of our turnaround businesses, which have been performing substantially better than last year. And as a result, the net effect of these factors generate a significant improvement in net majority income and a margin expansion of more than 500 basis points.

Turning to our balance sheet. Thanks to our strong cash flow generation, we closed the quarter with a net debt to adjusted EBITDA ratio of 1.8x. Our total debt increased by MXN 3 billion when compared to December 2020. This is mainly because of the depreciation of the Mexican peso, as a little bit more than 50% of our debt is denominated in U.S. dollars.

As you know, during the end of March, we announced an anticipated partial redemption for $600 million of our bond maturing in January 2022, with the intention to finance it through our $2 billion revolving credit facility. Given that such redemption was effective until April 26, our short-term liabilities as of the first quarter of '21 still show the full amount of such bond.

This transaction is in line with our permanent commitment to optimize our capital structure and continue our proactive search for future opportunities to maintain a solid balance sheet and the right debt profile. With this, we currently have

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

approximately $1.4 billion in undrawn commitments under the credit facility, which provides flexibility and liquidity for the future.

Our net operating working capital, which mainly considers accounts receivables, inventories and suppliers, has improved significantly by 4 days over the first quarter of 2020, which is equivalent to MXN 3.6 billion, mostly due to accounts receivables and accounts payable. Our free cash flow before share buybacks totaled MXN 1.9 billion, from which we have returned nearly MXN 750 million in the buyback program.

And finally, I would like to share with you that even including a new estimate of a stronger peso, given the outstanding results of the first quarter and continued strong trends, we maintain our optimistic view about 2021 and feel confident in our guidance for the year. So versus 2019, we are expecting low double-digit growth rate in our top line and mid- to high teens in EBITDA. While versus 2020, our sales and EBITDA will remain essentially flat.

We are expecting an effective tax rate in the mid- to high 30s. And our CapEx is estimated to be in the range of $900 million to $1 billion, as we are restarting those projects that were put on hold back in 2020. We are optimistic about the future as our results continue to be strong. Our teams are doing an extraordinary job, and our global diversification continues to pay off.
That concludes our remarks this afternoon. So Haley, please proceed with a Q&A session.

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Question and Answer

Operator

[Operator Instructions] Our first question today comes from Ben Theurer with Barclays.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

First of all, congrats on the strong results. That was clearly a very good first quarter.

Two quick questions. So first of all, and you kind of alluded to it, but considering the strength you're currently having, but at the same time, the cost environment, and I think you flagged commodity, freight and labor cost, the 3 of them. So clearly, all somewhat going against potentially keeping those margins at the levels where they were last year. So how proactive have you been on the pricing side? And what have you seen? Because obviously, it's not only you having to raise prices, it's across the commodities board. So how have you seen the reception of those price increases? And how have potential wholesalers pushed back on you when it comes to price increases? That would be my first question.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Daniel, I believe you're on mute.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Sorry, I muted it. Yes, Ben, what I was saying is that our coverage in -- of commodities ranges country from country, depending on the particular circumstances. And what we have done in countries where we have increased prices so far is that there has been an understanding on the market that there's inflation. And so far, we've been able to, as you could see in our results, behave positively in the market.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Okay. Perfect. And then it's kind of a connected question. So you've made the announcement and you've talked about what you're doing and what you're planning to do in Canada on the renewable energy, which kind of reminded me. Could you give us an update where you stand on the situation in Mexico with some of the cogeneration you're having? And how that could potentially impact if any reform or any change to the regulatory environment, what that could mean for you from an input cost pressure perspective, just considering all the noise that's been out there over the last couple of weeks?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. First I have to tell you that electricity is not necessarily our main cost in the company. So it's more part of our cost inputs. And we're now -- over 80% of our energy coming -- electricity energy is coming from renewable sources. And we're very happy what we have done in all the countries.

In Mexico, we have solar roofs in most of our plants and DCs and on some sales centers, which are not included in the reform that the government is pushing for. And we also have a contract with a power generator that uses renewable sources. And so far, it hasn't -- nothing has changed so far. The law is still in the process of being basically implemented and we, as always, will be abiding by any changes that happen in that regard. But there hasn't been any news lately.

Operator

Our next question comes from Ricardo Alves with Morgan Stanley.

Ricardo L. Alves
Morgan Stanley, Research Division

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

A couple of questions, if I may. I actually wanted to insist or to go back to the first question on the commodities and pricing. Appreciate how strong you performed in the first quarter and also understand the hedging policy of the company when we think about 2021.

But when you're thinking about later 2022, and as we head into the second half of this year, are you already -- or is the industry already taking measures when it comes to forward-looking pricing? Any more details that you can give on the competitive landscape? What do you think that the industry is doing or they're thinking about 2022 and as the hedges go by?

The second question is kind of related. I mean the U.S. performance -- the strong performance that you had in the U.S., I mean, we continue to see very solid performance for Bimbo when we look at Nielsen in the first quarter, looking at a 2-year CAGR basis, we are particularly surprised by the market share gains versus the industry and -- both in sales and volumes. So I would appreciate if you could comment on those market share gains.

When we start to think about the reopening and the return of channels, such as foodservice, convenience channels, are you guys comfortable that these market share gains are sustainable? If you could talk a little bit about the categories, as you mentioned in the preliminary remarks, breakfast and so forth, maybe that could help us to understand how sustainable you think that those are. I appreciate the time. Thanks for the question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Sure, Ricardo. I'll answer the first question, and I will relay on Fred to give you more comments on the second one.

On the first one, what I have to say is that these increases in commodity costs and others are happening globally or in most countries. The competitive situation in each country is different, so I cannot tell you that this is going to happen everywhere, but I would say that all the participants are facing the same increases.

The question is when will they be effective, given that they might have X or Y coverage on those futures that they might or not might be buying? But in general, this is inflation that we're seeing throughout many of our input costs.

Alfred Penny
President of Bimbo Bakeries USA

And Daniel, I'll be happy to take the second question. Ricardo, the -- I guess, first, I would say that we've been pleasantly surprised that -- how our run rate is held up across most of our categories as we hit the peak of the pandemic, which was really week 11 of last year. Obviously, we're running -- whether it's Nielsen or whatever the measure is, we're running negative to year ago numbers, but we're running strong numbers to pre-COVID 2019.

And so we've seen gains in market share. To your point, we've seen gains in household penetration. And we've really been focused on executing behind our core brands, our best brands and products, and we've invested incremental marketing dollars targeted to retain as many of the households that we gain through the pandemic and hopefully build on our share gains. But I would say all in all, I feel pretty good about where the run rates are.

There is a big question of what's going to happen as we get into the second half of the year. I spoke about that in our last quarterly call. Thinking about the year into 3 phases, obviously, pre-pandemic and then cycling the significant numbers of -- primarily the second quarter and then heading into the second half of the year with broad-scale vaccinations.

I anticipate that we would see some category slowdown as things get back to normal. But I also would say that there have been shifts in consumer behavior, and there's still open questions about when all schools are fully back, all colleges are fully back, work from home versus back in office, et cetera, that I think are going to continue to favor more consumption at home. And so we'll just -- we'll have to see how that plays out. But so far, it's been on the positive side.

Operator

Our next question comes from Lucas Ferreira with JPMorgan.

Lucas Ferreira
JPMorgan Chase & Co, Research Division

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

My first question is about Mexico. If you can elaborate a little bit more on the demand side, how things have been sort of progressing over the last couple of months? If you see improvements, which are the channels, they are doing better or worse? And how competition is looking like? And how pricing is evolving? Are you guys also feeling comfortable with passing through some eventual cost pressure there to the prices? So that's my first question.

And then I'm sorry to insist, once again my colleagues already asked about costs, but that's certainly one of the key topics right now. But just looking at your guidance, your guidance is for a flat margin, right? But you started the year with 150 bps expansion. So either your guidance is kind of conservative or you foresee some sort of pressure, maybe eventually in the second half of the year. Just wanted to double check if it's fair to assume some margin pressure at some point of the year to bring your average margin to be flat year-on-year? If that's the case, what are the regions that could be facing most pressure in your view?

Operator

Daniel, I believe you are on mute.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

I didn't pick up the first part of the question, Lucas. But if you...

Lucas Ferreira
JPMorgan Chase & Co, Research Division

Sure.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

If Diego or Fred, if you can just -- if you can answer again. And maybe the second one, Diego, it's for you.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Sure.

Lucas Ferreira
JPMorgan Chase & Co, Research Division

Should I repeat the first part of the question? It was about Mexico. So the outlook on...

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Yes, please.

Lucas Ferreira
JPMorgan Chase & Co, Research Division

Yes, if you can just recap Mexico, give more details on the performance of demand? The consumer? How it's been evolved in the last couple of months? And if we're being able to eventually increase prices in Mexico to go over eventually higher increasing costs?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, yes. Okay. Yes, actually, I'm feeling positive about the country. We -- I talked with consumers, customers that have been in the market, I believe that there's good demand. The brands are performing, and I believe that there's a good feeling about the industry in the country. And we are -- we have been able so far to make sure that we can cover our costs here as well. So not particularly any exciting news, but things are looking good here.

Diego, would you answer the second question?

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. Lucas, probably, let me start answering a little bit and giving a little bit more color on commodities, on what we are expecting for 2021. And I would say that we feel very certain because most of the commodities are already hedged according to our hedging strategy and our hedging policy.

So the impact that we would see in our results is going to happen more in the second half. And the annual impact that we will have because of the commodities increase in 2021, without taking into consideration the different strategies that are being implemented, as Daniel already discussed about it, it's going to be less than a percentage point. So again, this is assuming everything else stays the same.

Now in terms of the guidance, let me just be very clear. In terms of the EBITDA, remember that this quarter, we still have kind of an easy comparison. It was a very strong quarter, outstanding results basically all across the regions in the 4 segments that we report. But we're going to start to face very challenging comparisons, particularly in the second quarter, a little bit in the third and also in the fourth quarter of last year when we had margin increases of 80, more than 100 basis every quarter. And also -- and that's mainly because of the extraordinary volumes that we have mainly in North America.

Of course, there are some expenses that we faced last year, particularly with -- related to COVID that we also believe are going to be lower this year, but we're going to lose part of the marginability that we were able to achieve because of these extraordinary volumes. So that is why, basically, in terms of sales and EBITDA, we're expecting to see a flat margin. So having this increase in the first quarter, we do expect to see a decrease, particularly in the second quarter.

Operator

Our next question comes from Alvaro Garcia with BTG.

Álvaro García
Banco BTG Pactual S.A., Research Division

A couple of questions on my end. The first one would be on the outsourcing, the new labor law in Mexico. I was wondering if there'd be any material impacts worth commenting on there?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Sure, Alvaro. Well, we believe there was a good dialogue that the business organizations and the private sector and labor has. At the end of the day, I think it was a law that will bring benefits to the country. And in particular, in our case, we are reviewing all the details of it and what changes we need to make. But at this point in time, we don't see any material impact to our course of business.

Álvaro García
Banco BTG Pactual S.A., Research Division

Great. And then my second question is on taxes. Diego, you mentioned that part of the reason why the tax rate was lower was higher profits in places like Europe and Latin America. My question is whether you've used tax assets in the past, particularly in the U.S.? Whether or not we should expect for you to deploy some of these tax assets in places like Latin America over the next couple of years?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes, Alvaro, let me tell you a very important positive effect that we have been seeing in the last quarter, it is not just a matter of the first quarter, is that the operations that are still with a loss before taxes have been improving substantially. So our accounting policy has been very conservative. We haven't been creating any deferred taxes from these losses in the past.

So today, we're seeing in some of the operations that are now in the positive side, like above 1 positive effect because we're having a profit. And on an accounting perspective, we did not create the deferred tax.

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

So let me put it this way, it is working in our favor, having a profit and 0 taxes on the P&L. There are still some operations that have losses before taxes that we have continued to be conservative, not creating any deferred tax assets. So if this trend continues that we feel optimistic, we will start to see a positive effect in our effective tax rate. Although this is not necessarily going to have a big swing in 2021, this is probably more an effect that we will start to see in the coming years.

Álvaro García
Banco BTG Pactual S.A., Research Division

Very clear. And then just one last one, if I may. I was wondering if you could comment -- we saw very good results from Latin America. I was wondering if you could -- on the profitability side, if you can comment on the increased relevance of the Latin Central division within those results? I know you don't give much color country by country, but just sort of how that subregion has gained share would be very helpful.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

What -- what we are saying is that, that particular region have probably more lockdowns or more mix of work from home than others in LATAM. And the reality is that many of the countries in that region, we saw a higher revenue. So that's what we believe happened. Our teams are doing a great job obviously in the market that, in general, I think that's one of the caveats of a very good performance. But we also have countries that outperformed like Chile or Peru that are doing very well as well.

Operator

Our next question comes from Emiliano Hernandez with GBM.

Emiliano Hernández Marvan
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

Congrats on the results. 2 questions on my side, the first one regarding capital allocation. Could you comment on what are your priorities there in terms of dividends, buybacks and maybe M&A? And then could you share how much of the top line growth in Europe is coming from the contribution of Paterna plant?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Paterna is a small part of EAA, although a positive one and we're happy with that -- integration of that business. The most important part of the uses of the funds will be on CapEx, and that's a reflection of, first, the delays that we had in putting up many of the projects last year, and also in some constraints that we have in different categories because of the growth of volume. So that's the bulk of it. And we have also shareholders' assembly tomorrow, where we are suggesting we're -- the assembly approves dividend that it's already announced.

So, Diego, I don't know if you want to comment anything else?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. On the capital allocation, I would probably say, Emiliano, that as every year, with a very long-term view, as it is this period in the company, we have a strong CapEx program.

As I mentioned in the guidance, we're probably going to be in the range of $1 billion. So it's going to be one of the years in which we're going to be reinvesting in the business more than any other year. So a lot of the cash flow generation will go to the CapEx program.

In terms of giving back to shareholders, the dividend, if it is approved tomorrow, it's going to be MXN 4.5 billion. We bought back MXN 750 million in the buyback program during the first quarter. As we have mentioned before, if we continue to have a free cash flow generation and we continue to see an opportunity regarding the price of the stock, the valuation of the company, we will be buying back more shares.

Operator

[Operator Instructions] Our next question comes from [Federico Colacicchi] with [PAMCO].

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Unknown Analyst

Congratulations for the results. Just 2 questions. The first one is a clarification, Diego, when -- for calculation of the EBITDA for this -- the guidance for this year and when you compare with the last year, you're including or you're excluding the loss and profit for mix?

And the second question is regarding, again, the commodities, a follow-up. How much of the production for this year and maybe for the next year have you hedged or buy up to now?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. If it's okay, Daniel, I can take both questions. Regarding the EBITDA, [Federico]...

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Sure.

Diego Gaxiola Cuevas
Group Chief Financial Officer

We exclude the net effect. We have always excluded on our adjusted EBITDA any net effect, either if it's positive or negative. Remember last year, particularly in the first quarter, we had a big impact of more than $150 million because interest rates started to decline very quickly. Now that we have seen a rebound on interest rates, we are recognizing a profit, lower value on the liability of the nets that we have in our balance sheet.

It is on the operating income on EBIT, but it is excluded on our EBITDA, okay? Both in every ratio, even with IFRS 16 or without, which is the EBITDA that we take into account for the leverage ratio of the company.

In terms of the hedges, remember that we have a, I would say, a very sound and solid hedging strategy, both with commodities and FX. As I said, we're basically hedged for 2021. And as part of the hedging strategy, we already started to take some hedges for 2022. Of course, that with the prices that we're seeing today in the spot market, the cost of these hedges is going to be higher than what we've seen in 2021.

Operator

This concludes our question-and-answer session. I'd like to turn the call back over to Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you very much for your attendance today. And as always, we will be open to answer any of your questions or comments in our Investor Relations group. Thank you very much, and hope to see you next quarter.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

Copyright © 2021 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Copyright © 2021 by S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved.

These materials have been prepared solely for information purposes based upon information generally available to the public and from sources believed to be reliable. No content (including index data, ratings, credit-related analyses and data, research, model, software or other application or output therefrom) or any part thereof (Content) may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of S&P Global Market Intelligence or its affiliates (collectively, S&P Global). The Content shall not be used for any unlawful or unauthorized purposes. S&P Global and any third-party providers, (collectively S&P Global Parties) do not guarantee the accuracy, completeness, timeliness or availability of the Content. S&P Global Parties are not responsible for any errors or omissions, regardless of the cause, for the results obtained from the use of the Content. THE CONTENT IS PROVIDED ON "AS IS" BASIS. S&P GLOBAL PARTIES DISCLAIM ANY AND ALL EXPRESS OR IMPLIED WARRANTIES, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, FREEDOM FROM BUGS, SOFTWARE ERRORS OR DEFECTS, THAT THE CONTENT'S FUNCTIONING WILL BE UNINTERRUPTED OR THAT THE CONTENT WILL OPERATE WITH ANY SOFTWARE OR HARDWARE CONFIGURATION. In no event shall S&P Global Parties be liable to any party for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including, without limitation, lost income or lost profits and opportunity costs or losses caused by negligence) in connection with any use of the Content even if advised of the possibility of such damages. S&P Global Market Intelligence's opinions, quotes and credit-related and other analyses are statements of opinion as of the date they are expressed and not statements of fact or recommendations to purchase, hold, or sell any securities or to make any investment decisions, and do not address the suitability of any security. S&P Global Market Intelligence may provide index data. Direct investment in an index is not possible. Exposure to an asset class represented by an index is available through investable instruments based on that index. S&P Global Market Intelligence assumes no obligation to update the Content following publication in any form or format. The Content should not be relied on and is not a substitute for the skill, judgment and experience of the user, its management, employees, advisors and/or clients when making investment and other business decisions. S&P Global Market Intelligence does not act as a fiduciary or an investment advisor except where registered as such. S&P Global keeps certain activities of its divisions separate from each other in order to preserve the independence and objectivity of their respective activities. As a result, certain divisions of S&P Global may have information that is not available to other S&P Global divisions. S&P Global has established policies and procedures to maintain the confidentiality of certain nonpublic information received in connection with each analytical process.

S&P Global may receive compensation for its ratings and certain analyses, normally from issuers or underwriters of securities or from obligors. S&P Global reserves the right to disseminate its opinions and analyses. S&P Global's public ratings and analyses are made available on its Web sites, www.standardandpoors.com (free of charge), and www.ratingsdirect.com and www.globalcreditportal.com (subscription), and may be distributed through other means, including via S&P Global publications and third-party redistributors. Additional information about our ratings fees is available at www.standardandpoors.com/usratingsfees.
© 2021 S&P Global Market Intelligence.